CHAPTER 10

# GOVERNMENT BUDGET AND THE ECONOMY

**CHAPTER ESSENCE AT A GLANCE:**
Master budget objectives, classification of revenue and capital receipts and expenditures, and the economic implications of Revenue, Fiscal, and Primary Deficits.

## 4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Objectives of Government Budget:** The annual financial statement aims at resource reallocation (taxing demerit goods, subsidizing public goods), income redistribution, economic stability, and public enterprise management.

• **Revenue vs Capital Classification:** Revenue items neither affect asset-liability status; Capital items either create liabilities (borrowings) or reduce government assets (disinvestment, loan recoveries).

• **Budget Deficit Measures:** Revenue Deficit reflects government dissaving; Fiscal Deficit indicates total state borrowing requirements; Primary Deficit measures current fiscal imbalance excluding past debt interest commitments.

• **Fiscal Policy and Stabilization:** Government uses discretionary fiscal policy (tax adjustments, public spending programs) and automatic stabilizers to counteract inflationary overheated demand or recessionary slumps.

## ESSENTIAL ECONOMIC MODELS & GOVERNING FORMULAS

$$\text{Revenue Deficit} = \text{Revenue Expenditure} - \text{Revenue Receipts}$$

*Operational Shortfall in Current Government Running Costs*

$$\text{Fiscal Deficit} = \text{Total Exp} - (\text{Rev Receipts} + \text{Non-Debt Cap Receipts}) \equiv \text{Borrowings}$$

*Total Sovereign Debt Burden Incurred in Budget Year*

$$\text{Primary Deficit} = \text{Fiscal Deficit} - \text{Interest Payments}$$

*Current Fiscal Imbalance Exclusive of Legacy Debt Service*

$$\text{Budget Status} \rightarrow \{\text{Balanced: } R = E, \quad \text{Surplus: } R > E, \quad \text{Deficit: } R < E\}$$

*Three Classical Budget Balance Configurations*

## CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Never confuse Fiscal Deficit with Revenue Deficit; Fiscal Deficit represents total borrowings of the government from all domestic and external sources.

• **Alert:** Disinvestment (selling equity shares of PSUs) is a Capital Receipt because it reduces government physical and financial assets.

• **Alert:** Zero Primary Deficit means the government's borrowing requirement is solely driven by interest obligations on accumulated past debt.

## HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

**1. Explain any three major objectives of a Government Budget. [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **1. Reallocation of Resources:** Government reallocates resources toward socially desirable sectors by imposing heavy taxes on harmful commodities (liquor, cigarettes) and granting tax holidays and subsidies to eco-friendly production. **[1 Mark]**

• **2. Reducing Inequalities in Income and Wealth:** Implements progressive personal taxation (higher tax on higher income brackets) and uses tax revenues to provide subsidized food, free education, and healthcare to the poor. **[1 Mark]**

• **3. Economic Stabilization:** Prevents business cycle fluctuations (inflation and recession) by adjusting taxes and public spending to maintain price stability. **[1 Mark]**

**2. Distinguish between Revenue Receipts and Capital Receipts. Classify each of the following with reasons: (a) Recovery of loans, (b) Corporation tax. [Score: 4 Marks]**

**Answer & Key Valuation Steps:**

• **Revenue Receipts:** Government receipts that neither create any liability nor cause any reduction in government assets (e.g. tax revenue, fees, fines). **[1 Mark]**

• **Capital Receipts:** Government receipts that either create a liability (e.g. borrowings) or cause a reduction in government assets (e.g. disinvestment, recovery of loans). **[1 Mark]**

• **(a) Recovery of Loans:** It is a Capital Receipt because recovering loans reduces the financial assets of the government. **[1 Mark]**

• **(b) Corporation Tax:** It is a Revenue Receipt because it is a compulsory tax payment that neither creates a liability nor reduces any asset for the government. **[1 Mark]**

**3. Define Fiscal Deficit. What are its major economic implications for the economy? [Score: 4 Marks]**

**Answer & Key Valuation Steps:**

• **Definition:** Fiscal Deficit is the excess of total budget expenditure over total receipts excluding borrowings. It represents the total net borrowing requirement of the government from all sources. **[1.5 Marks]**

• **Implications:**<br/>• **Debt Trap:** High borrowings lead to mounting interest payment burdens, forcing further borrowing just to pay interest.<br/>• **Inflationary Spiral:** Deficit financing via RBI borrowing expands money supply, sparking demand-pull inflation. **[1.5 Marks]**

• • **Crowding Out:** Heavy government market borrowing absorbs available loanable funds, pushing interest rates up and starving private business investment. **[1 Mark]**

**4. From the following budget data (in Rs Crores), calculate: (a) Revenue Deficit, (b) Fiscal Deficit, (c) Primary Deficit. Revenue Receipts = 2,000; Revenue Expenditure = 2,500; Capital Expenditure = 1,200; Recovery of Loans = 200; Borrowings = 1,500; Interest Payments = 400. [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **(a) Revenue Deficit:** Revenue Expenditure - Revenue Receipts = 2,500 - 2,000 = Rs 500 Crores. **[1 Mark]**

• **(b) Fiscal Deficit:** By definition, Fiscal Deficit is equal to total borrowings = Rs 1,500 Crores. (Check: Total Exp 3,700 - Non-debt Receipts 2,200 = 1,500). **[1 Mark]**

• **(c) Primary Deficit:** Fiscal Deficit - Interest Payments = 1,500 - 400 = Rs 1,100 Crores. **[1 Mark]**

**5. Distinguish between Direct Taxes and Indirect Taxes with examples. [Score: 2 Marks]**

**Answer & Key Valuation Steps:**

• **Direct Taxes:** Taxes whose final monetary burden falls directly on the person or company on whom it is legally assessed, which cannot be shifted. Examples: Income Tax, Corporate Tax. **[1 Mark]**

• **Indirect Taxes:** Taxes imposed on goods and services whose burden can be shifted forward to consumers through pricing. Examples: Goods and Services Tax (GST), Customs Duty. **[1 Mark]**

**6. What does a zero Primary Deficit imply about the financial management of a government? [Score: 2 Marks]**

**Answer & Key Valuation Steps:**

• **Economic Meaning:** Primary Deficit = Fiscal Deficit - Interest Payments. When Primary Deficit is zero, Fiscal Deficit exactly equals Interest Payments. **[1 Mark]**

• **Policy Implication:** It implies the current year's budgetary revenues are sufficient to meet all current expenditures; government borrowing is entirely dedicated to servicing legacy debt interest commitments. **[1 Mark]**